The Logistics Brief

PRACTICAL SUPPLY CHAIN AND OPERATIONS INSIGHT



ISSUE 2 · NOVEMBER 2026

Getting Inventory Right: Less Guesswork, Fewer Surprises

— Know what you actually have
— Sort items by importance
— Set reorder points with lead time in mind

By Dr. Solomon Chukwuemeka Awusah (Non-Clinical Strategist) · solomonawusah.com

Getting Inventory Right: Less Guesswork, Fewer Surprises

Too much inventory ties up space and money, and too little leaves customers waiting. A few disciplined practices help businesses find the balance.

By Dr. Solomon Chukwuemeka Awusah (Non-Clinical Strategist) · November 7, 2026

Know what you actually have

Every inventory decision rests on one basic fact: how much of each item is really on hand. When system records drift away from what is physically on the shelf, everything built on those records becomes less reliable. Orders are placed too early or too late, and staff spend time searching for items that the system says exist.

Cycle counting is a practical way to keep records accurate. Instead of shutting down for one large annual count, teams count a small portion of items every day or week. Over time every item is checked, and errors are caught while they are still small and easy to trace.

Sort items by importance

Not all inventory deserves the same attention. A common approach is to group items into categories based on their value and how often they move. A small number of items usually accounts for a large share of activity, and those items deserve the closest monitoring.

Fast-moving, high-value items might be reviewed weekly and counted often. Slower, lower-value items can be managed with simpler rules. This focus lets a team spend its limited time where it has the greatest effect.

Set reorder points with lead time in mind

A reorder point is the stock level that triggers a new order. Setting it well requires two pieces of information: how quickly the item is used and how long it takes to replenish. If a supplier needs three weeks to deliver, the reorder point must cover at least three weeks of expected use.

A modest safety stock on top of that protects against normal variation in demand and delivery times. The key is to base these numbers on actual history and to

revisit them regularly, because both demand and supplier performance change over time.

Watch for slow movers

Items that sit untouched for months quietly consume warehouse space, handling time and attention. They can also become obsolete, damaged or expired. Regular reviews of slow-moving stock help teams decide whether to reduce future orders, bundle items, return them to suppliers or clear them out.

Setting a clear threshold, such as no movement in a set number of days, turns this from an occasional cleanup into a routine part of inventory management.

Organize the space for the work

How inventory is stored affects how efficiently it can be found, picked and counted. Placing the most frequently used items closest to packing and shipping areas reduces walking time. Clear labels and consistent locations reduce errors and make it easier for new staff to learn the layout.

Layouts should be reviewed as the product mix changes. An item that was a top seller last year may now be a slow mover occupying a prime location, while a newer item is stored at the far end of the building. A periodic reshuffle keeps the space working for current demand rather than past demand.

Share the numbers

Inventory decisions often involve purchasing, sales, operations and finance. When each group works from different numbers, the result is confusion and conflict. A shared, regularly updated view of stock levels, open orders and expected demand helps everyone plan from the same starting point.

Short, regular conversations between sales and operations are especially valuable. Sales teams often know about upcoming changes in demand before they appear in the data, and operations teams know which supply constraints might limit what can be promised.

Balance as a discipline

Good inventory management is less about sophisticated software and more about steady habits: accurate counts, focused attention on the items that matter most, reorder points grounded in real lead times, regular review of slow movers, a well-organized space and shared information.

Businesses that build these habits make fewer emergency orders, disappoint fewer customers and free up space and cash for better uses.

The best place to start is usually the simplest: pick a small group of important items, confirm the counts, and build from there.

Read online at https://solomonawusah.com/the-logistics-brief/issues/issue-02.html